

Instructor: Date:

Learner: Regional Branch:

Program: Center:

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Let's Start!

Liability Caps in Software License Agreements



Learning Outcome:

Understand information about people's backgrounds in spoken or written documents.

Define strategies to make terms of reference and supplier assessment processes, in technology acquisition, based on established protocols.

Ask your partner:

- Do you think it is wise to know the software vendor's potential to protect the customer's interests in the case of damage or loss of data?
- In what cases do you think a software vendor's should be made accountable for the loss or damage of data?

Can Do Statements:

- I can understand written information about liability caps in a software license agreement.
- I can use concepts related to liability caps.
- I can write a paragraph to summarize information about liability caps.



Let's Explore!

Derek is talking about liability caps.



Instructions: Read the text below.

I want to introduce this lecture by asking this question: Is the liability of a software agreement supposed to be limited? Well, software license agreements have provisions that limit the amount of the software's provider liability to the customer for damage or loss. This is called liability cap. But, how is the liability cap supposed to be calculated? Many license agreements contain a liability cap which is determined depending on the amount of fees paid by the customer during a stated period.

You can even limit the type of damages that could be recovered. This would limit the liability and recover to only certain damages. In this sense, is the amount of the cap supposed to change? Totally. The amount of the cap is variable. So, if an event of loss happens in the first three months of the agreement, the fees and the capped amount could be less than the fee paid afterwards in the term of the contract. On the other hand, if the customer accepts a cap of liability, it's advisable to include a floor amount in the cap.

It means that the cap of liability is the greater of a specified amount in the next 12 months. Which things are supposed to be excluded from the cap on liability? It is mandatory to exclude some head of loss, like a breach of privacy, confidentiality, and personal injury. All in all, a financial cap either limits or expands the liability. Whatever limitation of liability and indemnification that is applied must be understood and agreed by both parties to avoid claims by the licensor.



Let's Practice!

Derek reviews some vocabulary before the lecture.

Instructions: Select all the correct answers.

1. Derek will find a set of concepts. Some of them are correct and others are incorrect. Help Derek choose the correct concepts.
 - a. A cap expresses limitation or restriction.
 - b. If something was stated, it was stipulated by an agreement.
 - c. A damage is an injury that doesn't affect or reduce the performance.
 - d. Variable is something that is likely to change.
 - e. Loss is something that was ruined, lost or destroyed.
 - f. A fee is a tax you pay for a service or product.
 - g. Heads of loss are categories of damage that could be committed by private entities.

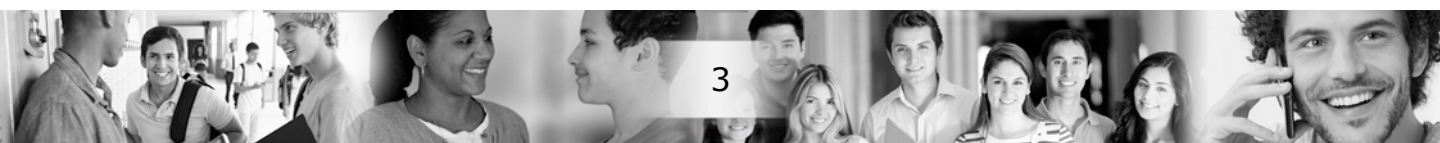


Let's Practice!

Anne asks questions about liability caps.

Instructions: Proofread the sentences. Correct the mistakes.

1. Is this license agreement suppose to have a liability cap?
2. Am I supposed to calculating the cap myself?
3. What are we supposed of do with these fees?
4. Are we supposed to agreed on the amount of the cap?
5. Is the customer supposed to paying in advance for the cap?





Extension Activity

Getting to Know More About Liability Caps

Instructions: Complete the following steps. Fill in the Self-Assessment.

- Go to the internet and find as much information as you can about liability caps.
- Take notes and make a list of the web pages used, paying attention to use only web pages written in English.
- Use the information found to write a summary about liability caps, don't forget to mention the main characteristics and examples of liability caps.
- Read the text to the class.

Self-Assessment

Yes

No

- I analyze written information liability caps. ☐ ☐
- I describe important facts and characteristics related to liability caps. ☐ ☐
- I show real examples of liability caps in license agreements. ☐ ☐



Target Words

- **cap** (noun): term used to express limitation or restriction.
e.g. But how is the liability cap supposed to be calculated?
- **stated** (adjective): stipulated by agreement.
e.g. Many license agreements contain a liability cap which is determined depending on the amount of fees paid by the customer during a stated period.
- **damage** (noun): injury or hurt that reduces efficacy and affects the performance.
e.g. You can even limit the type of damages that could be recovered.
- **variable** (adjective): possible to change.
e.g. The amount of the cap is variable.
- **loss** (noun): something ruined, lost or destroyed.
e.g. It is mandatory to exclude some head of loss.
- **afterwards** (adverb): when something happens at a subsequent time.
e.g. The fees and the capped amount could be less than the fee paid afterwards in the term of the contract.



Learning Points

Be Supposed to in Questions

Be supposed to in the question form is used to ask about things that are assumed to happen.

When you want to ask a question about something you think is intended, required, or expected to happen, you can use **be supposed to** in its interrogative form.

Structure:

(Wh-) + Verb **Be** + Subject + **Supposed to** + **Verb in base form** + Complement

Examples:

Are you supposed to limit the terms for the licensor?

What **are we supposed to do** if we lose sensitive data?

Examples

- *Is the liability of a software agreement supposed to be limited?*
- *Is the amount of the cap supposed to change?*
- *Which things are supposed to be excluded from the cap on liability?*

Understanding the concept of Heads of loss

In a contract, the categories of damage that a party could incur are called heads of loss.

Heads of loss or heads of claim are categories of damage that could be committed by a person or party. The word **head** is used to express **category**. Each head of loss refers to a particular category of responsibility.

Loss refers to the equivalent of damages at common law. Measuring damages could result very complex; however, the very first thing to do is to place the injured party in the same position as if the contract had been followed appropriately.

The following are some of the most common heads of loss listed in the book *Building Contract Claims*:

- On-site establishment costs
- Head office overheads
- Loss of profit
- Inefficient or increased use of labor and plant
- Winter working
- Plant
- Increased costs
- Financing charges and interest

